

Jyothy Labs Ltd (NSE:JYOTHYLAB) | Buy Recommendation



Current Price: Rs. 195 | Target Price: Rs. 225 | Implied Upside: 16%

Prepared By: Titu Thomas | Valuation Date: 11 September 2026

(This is an independent research project prepared for educational purposes and is not intended to constitute investment advice or a recommendation to buy or sell any security.)

Investment Thesis Summary

The market may be underestimating Jyothy's ability to rebuild growth, improve mix and expand margins after the Pril/Fa exit.

Thesis Point 1

Pril/Fa exit is a reset, not a structural break. Jyothy can rebuild the ₹220 Cr revenue gap through its broader owned-brand portfolio, with Exo Liquid providing a key new growth engine.

Thesis Point 2

Premiumisation can improve Jyothy's revenue mix. Jyothy is expanding into higher-value liquid and specialised formats across Fabric Care, Home Care and Insecticides, supporting positive price/mix and potentially improving profitability.

Thesis Point 3

Distribution expansion can drive operating leverage. Jyothy's expanding reach can support higher volumes and better manufacturing utilisation, helping EBIT margins gradually move from 13% in FY26 toward our 19% long-term assumption.

Business Overview

Jyothy Labs is an Indian FMCG company with established household brands across Fabric Care, Home Care and Personal Care. The company has 23 manufacturing facilities and over 14 lakh direct retail outlets across India, with growing presence in Modern Trade, e-commerce and quick commerce.

Business & Product Portfolio

Fabric Care

- Main Wash: Detergent powder, Detergent liquid and Bar soaps
- Post Wash: Fabric whiteners, Fabric enhancers and conditioners
- Key brands: Ujala, Henko, Mr. White, More Light, Dr. Wool

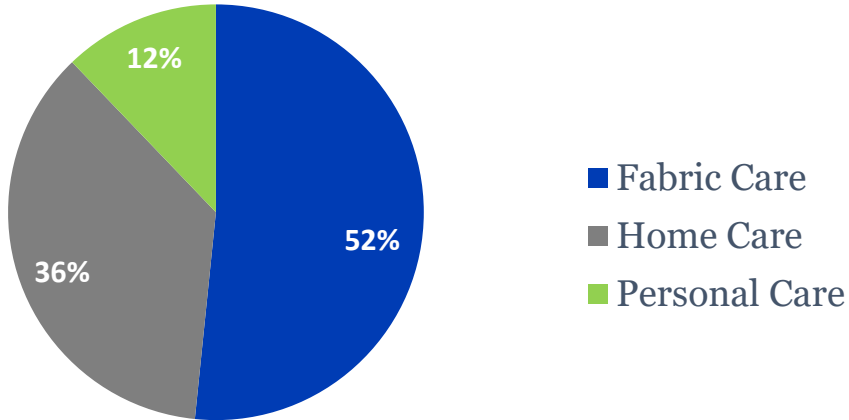
Home Care

- Dishwash: Dishwash bars, powders, scrubs and liquids
- Insecticides: Mosquito coils, Liquid vaporizers and Aerosol
- Key brands: Exo, Maxo, Maya

Personal Care

- Products: Soaps, Toothpaste and Hand wash
- Key brands: Margo, Jovia, Neem Active

Q1 FY27 Revenue Mix



Q1 FY27 Revenue: ₹773 Cr

#1

Ujala Supreme

In Fabric Whitener category since its launch 4 decades ago

#2

Exo Dishwash Bar

Dishwash category, in value terms

#2

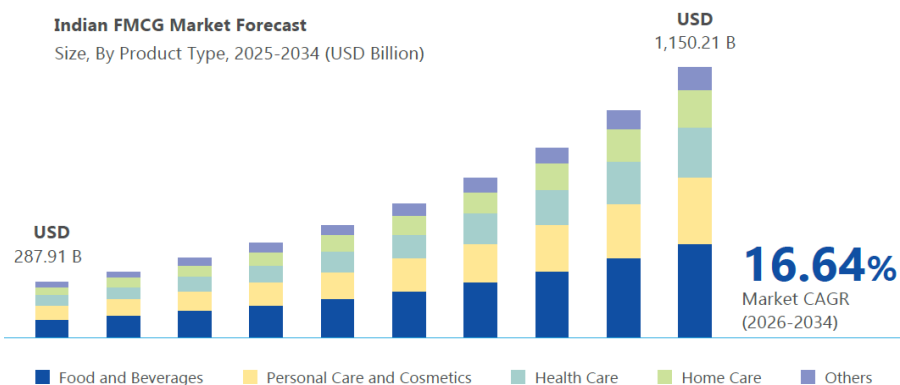
Maxo Mosquito Repellent Coil

Mosquito repellent coil, by volume

Industry Overview

Jyothy operates in India's large and growing FMCG market, supported by rising consumption, premiumisation and changing purchase channels.

Market Size & Growth



- India's FMCG market is estimated at \$288B and projected to grow at a 16.6% CAGR through 2034.
- The market is expected to expand significantly over the coming years, supported by rising consumption and increasing household spending.

Key Growth Drivers

- Rising incomes: Higher disposable income is supporting greater spending on branded and higher-value consumer products.
- Urbanisation: Urbanisation is expanding the consumer base for organised retail, convenience products and premium formats.
- New consumption channels: Modern trade, e-commerce and quick commerce are expanding product access and changing how consumers discover and purchase FMCG products.

Competitive Landscape

 Hindustan Unilever Limited	Jyothy's broadest competitor across Home Care, Fabric Care and Personal Care. Key competing brands include Vim, Surf Excel and Rin. Vim is the market leader in Indian dishwashing.
 Jyothy CONSUMER PRODUCTS	Key competitor in Home Care, particularly household insecticides. Its major brands include Goodknight and HIT, competing with Jyothy's Maxo portfolio.
	Key competitor in Fabric Care and laundry products, with major brands such as Ariel and Tide competing with Jyothy's Henko portfolio.
 RSPL EVOLUTION IS CONSTANT	Mass-market competitor in Fabric Care. Its major brands include Ghari detergent powder and Ghari detergent cake, with a strong presence in value-oriented laundry products.

Structural Trends

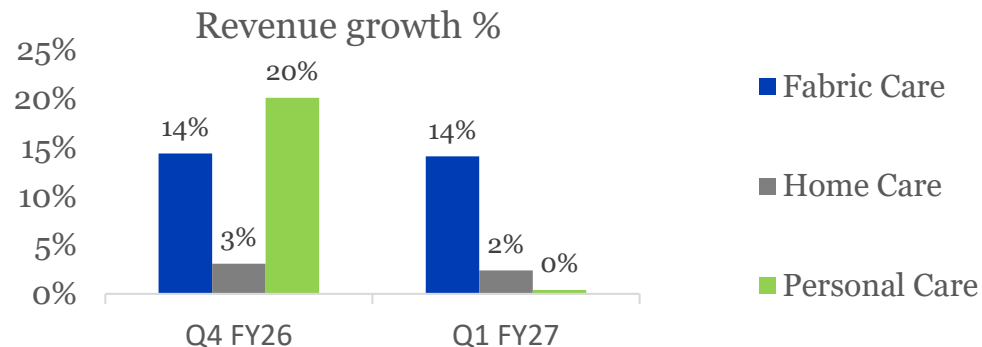
- Premiumisation: Consumers are moving toward higher-value products offering better quality and convenience.
- Liquid Formats: Liquid detergents, liquid dishwash and liquid vaporizers are gaining consumer adoption.
- Quick Commerce: Faster delivery and wider product availability are creating a growing channel for FMCG consumption.

Thesis 1: Pril/Fa exit is a reset, not a structural break.

Jyothy can rebuild the ₹220 Cr Pril & Fa revenue gap through its broader owned-brand portfolio, with Exo Liquid providing a key new growth engine.

Underlying growth remains positive despite the Pril/Fa exit

- Jyothy's underlying business continues to grow despite the Pril/Fa exit. Q1 FY27 revenue grew 8.1% in value and 5.3% in volume, excluding Pril and Fa.
- Fabric Care remains the strongest growth engine. The segment grew around 14% in both Q4 FY26 and Q1 FY27 and accounts for 52% of total revenue. Growth has been supported by consumers shifting from detergent powders to liquids, where Henko, Dr. Wool and Ujala have an established presence.
- Personal Care has a temporary growth issue rather than a structural slowdown. The segment grew 20% in Q4 FY26, while Q1 FY27 was largely flat due to global supply-chain disruptions. We expect growth to improve as these issues ease.



(Q1 FY27 Home Care growth shown excluding Pril)

Exo Liquid targets a faster-growing format

- Jyothy has reintroduced and upgraded Exo Liquid following the exit of the licensed Pril brand. The new range uses bio-enzymes and expands Exo beyond its traditional strength in dishwash bars.
- Consumers are increasingly shifting from dishwash bars to liquid formats, creating an opportunity for Exo to expand its presence. This also allows Jyothy to use an established brand in a format where Pril previously had a meaningful position.
- Exo already has a strong position in dishwash bars, with a 14% market share. Pril had an estimated 13% share of the liquid dishwash segment, giving Jyothy an opportunity to leverage Exo's existing brand equity and distribution to compete in the liquid format.
- The liquid dishwash market is growing rapidly as consumers trade up from bars. The Indian liquid dishwash market is estimated at ₹2,800 Cr today and is expected to reach ₹4,500 Cr by 2032, implying 8% CAGR.



Thesis 1: Pril/Fa exit is a reset, not a structural break.

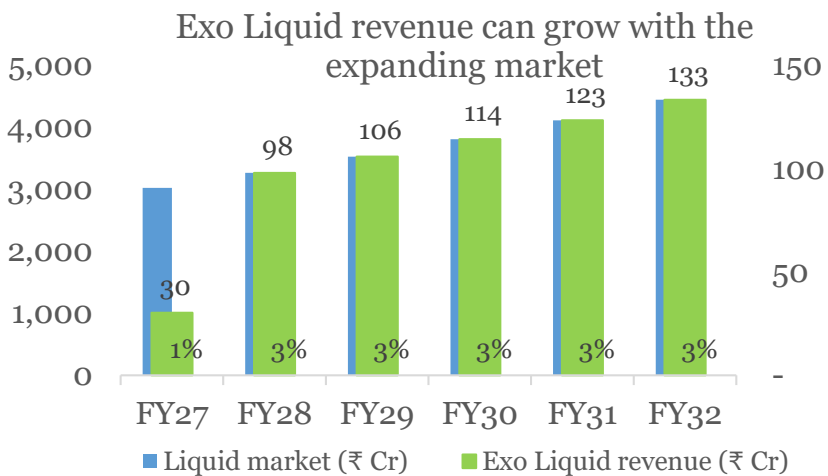
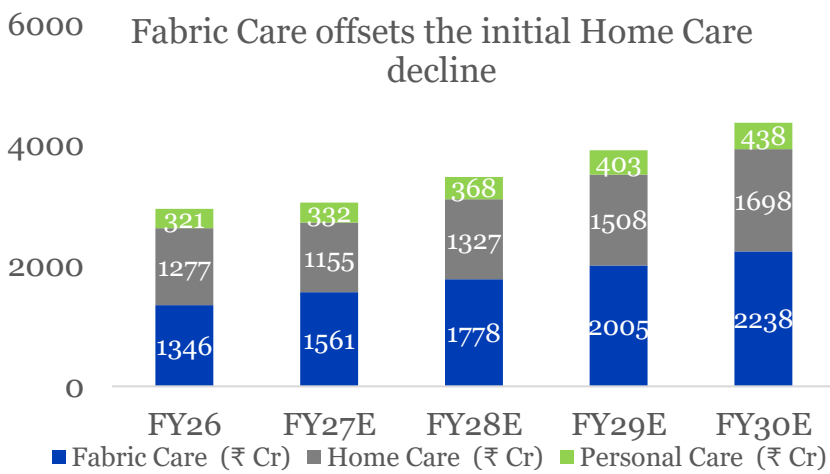
Jyothy can rebuild the ₹220 Cr Pril & Fa revenue gap through its broader owned-brand portfolio, with Exo Liquid providing a key new growth engine.

Jyothy does not need Exo alone to replace the Pril/Fa revenue gap

- The ₹220 Cr Pril/Fa revenue loss does not need to be replaced by Exo alone. We believe Jyothy can rebuild the gap through new products, distribution expansion, geographical expansion and stronger marketing across its existing brands.
- Despite the Pril/Fa exit, we estimate FY27 revenue growth of 3.6%. Fabric Care growth is expected to offset much of the decline in Home Care.
- FY27 is a transition year. We expect growth to re-accelerate from FY28 as Exo scales, liquid formats gain adoption and distribution investments start to contribute.
- We assume Exo Liquid reaches 3% market share by FY28, generating ₹98 Cr of revenue. Along with growth in Exo bars, insecticides and distribution expansion, this supports a strong recovery in Home Care from FY28.

Conclusion

- The Pril/Fa exit creates a one-year revenue reset, not a permanent change in Jyothy's growth trajectory. We believe growth across Fabric Care, Exo, other Home Care brands and Personal Care can collectively rebuild the lost revenue as the portfolio normalizes.
- Our model therefore assumes a transition year in FY27, followed by stronger Home Care and overall revenue growth from FY28.



Thesis 2: Premiumisation can improve Jyothy's revenue mix.

Jyothy's shift toward premium and specialised products can improve price/mix and gradually lift the profitability of its core categories.

Premiumisation is spreading across categories

Fabric Care

- Liquid and specialised products are gaining share. Henko, Dr. Wool and Ujala are expanding Jyothy's presence in higher-value liquid and specialised fabric-care formats.

Insecticides

- Maxo is shifting toward higher-value liquid vaporizers. Liquid vaporizers accounted for 55% of Maxo mix in FY26, up from 50% in FY25.

Dishwash

- Exo is expanding into liquid dishwash. The new liquid format gives Jyothy exposure to a higher-value format while broadening the Exo franchise beyond bars.

Conclusion

- Premiumisation is occurring across multiple categories rather than relying on a single product.
- As this mix shift scales, we believe it can support stronger price/mix and create a more profitable revenue base.

Higher-value formats can improve mix

Mass Products

Premium Products



Why consumers will pay more ?

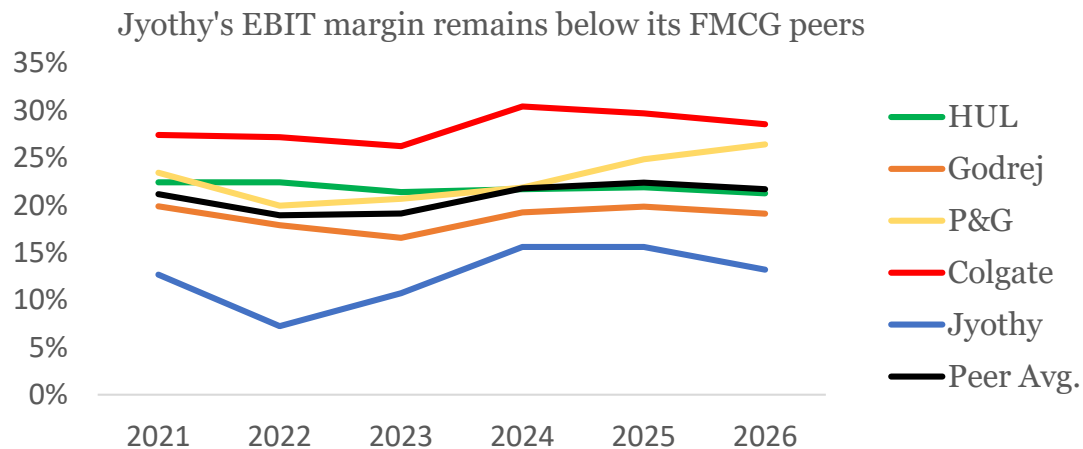
- Rising incomes are supporting greater willingness to spend on convenience and specialised products.
- Liquid and specialised formats offer consumers added convenience, performance and functionality versus traditional formats.
- This supports a gradual shift toward higher-value products across categories.

Thesis 3: Distribution expansion can drive operating leverage.

Expanding distribution can drive volume growth, while better capacity utilisation can improve operating leverage.

Jyothy has significant margin headroom

- Jyothy's FY26 EBIT margin was 13%, well below the 19-29% range of its FMCG peers.
- As Jyothy scales, higher volumes and better capacity utilisation can help spread fixed costs over a larger revenue base.
- Jyothy has demonstrated operating leverage before. From FY23 to FY24, revenue grew 11%, while EBIT increased by 62%, lifting EBIT margin from 10.7% to 15.6%.
- We assume EBIT margin gradually reaches 19% in FY31-36, broadly in line with the lower end of the current peer range.



Distribution can unlock scale benefits

- Jyothy expanded its direct distribution from 13 lakh outlets in FY25 to nearly 14 lakh in FY26, adding close to 1 lakh outlets across India. The company plans to continue expanding direct distribution in the coming years.
- Modern Trade, e-commerce and quick commerce are also expanding rapidly, growing 26% in FY26 and increasing Jyothy's reach in urban markets.
- A wider distribution network increases product availability and creates room for higher volumes across Jyothy's existing brands.
- Higher volumes can improve manufacturing utilisation and spread fixed costs over a larger revenue base, creating operating leverage.

Conclusion

- Jyothy's current 13% EBIT margin leaves room for improvement as the business scales. We believe wider distribution, higher volumes and better manufacturing utilisation can gradually improve operating leverage and support our 19% long-term margin assumption.

Variant Perception

The market appears to price a slower post-Pril/Fa recovery than our estimates imply.

Market View	Our View
Current valuation implies 7.9% revenue CAGR from FY28-FY36, pointing to a slower long-term growth path.	We forecast 9.4% revenue CAGR from FY28-FY36, supported by Exo expansion, premiumisation and wider distribution.
At our revenue forecast, the current valuation implies an 11.2% EBIT margin from FY28-FY36, suggesting limited margin expansion.	We forecast an average 17% EBIT margin over FY28-FY36, supported by higher volumes, better utilisation and fixed-cost absorption.
The Pril/Fa exit creates a lasting drag on Jyothy's growth beyond FY27.	We see FY27 as a transition year, with growth re-accelerating from FY28 as multiple owned brands rebuild the lost revenue.
Current valuation appears to reflect a relatively conservative recovery in both growth and margins.	Our variant comes from several smaller improvements compounding: Exo Liquid, premium formats, distribution and operating leverage.

(Market-implied growth and margin are conditional reverse-DCF outputs. Growth is solved assuming other model assumptions remain unchanged; margin is solved assuming our revenue forecast remains unchanged.)

Catalysts and Risks

Catalysts

- Exo Liquid gains distribution and consumer adoption, helping Jyothy rebuild part of the ₹220 Cr revenue gap created by the Pril/Fa exit. Our model assumes Exo Liquid reaches 3% market share by FY28, making execution and early consumer traction important watchpoints.
- Stabilisation in crude-linked input costs and further pricing actions could allow margins to recover from the sharp Q1 FY27 compression. EBITDA margin fell to 8.4% in Q1 FY27 from 15.3% in FY26, while management expects a progressive recovery with H2 FY27 better than H1 if commodity conditions stabilise.
- Continued distribution expansion can improve availability and support volume growth, while higher-value formats can improve mix. Jyothy added 1 lakh direct outlets in FY26 to reach nearly 14 lakh and plans to continue adding roughly 50,000-100,000 outlets annually.
- Successful launches across liquid, premium and specialised formats could add incremental growth without relying on a single brand to replace Pril. Better-than-expected adoption of new products would support our assumptions for revenue growth, mix improvement and operating leverage.

Risks

- Exo Liquid may fail to gain sufficient consumer adoption and distribution, leaving a larger portion of the Pril/Fa revenue gap unrecovered. A slower Home Care recovery would put pressure on our FY28+ revenue-growth assumptions.
- Crude-linked input costs could remain elevated, delaying gross-margin and operating-margin recovery. Management has indicated that 90% of the business is linked to crude oil prices, making sustained commodity inflation a meaningful risk to our margin-expansion thesis.
- Henkel could potentially re-enter the Indian liquid dishwash market through a Pril relaunch or a new licensing arrangement, increasing competitive intensity in the category. A stronger incumbent or competitor presence could make Exo Liquid's path to the market-share assumptions in our model more difficult.
- Aggressive pricing, promotions or higher grammage from larger FMCG players could limit Jyothy's ability to pass through input costs and capture premium pricing. This could pressure both our price/mix assumptions and the margin expansion required to reach our long-term 19% EBIT margin.

Valuation Summary

At ₹195/share, our DCF values Jyothy Labs at ₹225/share, implying 16% upside. The valuation is supported by a recovery in revenue growth from FY28, progressive EBIT margin normalization and long-term operating leverage from Exo, premiumisation and distribution expansion.

Valuation Methodology & Key Assumptions

DCF Methodology

- 10-year FCFF DCF with FY27 incorporating Q1 FY27 actuals and the remaining-year forecast.
- WACC of 10.5% used throughout the forecast and terminal period.

Growth

- Revenue growth is driven by segment volume growth, price/mix, distribution expansion, new products and market-share gains.

Sensitivity Analysis

Value Per Share

Value	₹ 225	Terminal Growth Rate				
		4.5%	5.0%	5.5%	6.0%	6.5%
WACC	9.5%	₹ 205	₹ 215	₹ 226	₹ 241	₹ 259
	10.0%	₹ 204	₹ 214	₹ 226	₹ 240	₹ 258
	10.5%	₹ 204	₹ 214	₹ 225	₹ 240	₹ 258
	11.0%	₹ 203	₹ 213	₹ 225	₹ 239	₹ 257
	11.5%	₹ 203	₹ 213	₹ 224	₹ 239	₹ 257

DCF Output & Price Target	
Valuation Metric	₹ / %
Current Share Price	₹195
DCF Value / Share	₹225
Implied Upside	16%
Enterprise Value	₹7,510 Cr
Equity Value	₹8,274 Cr

Our Estimates vs Consensus			
Metric	2027E	2028E	2029E
Revenue	3,049	3,473	3,916
Revenue Growth	3.6%	13.9%	12.8%
Consensus Revenue	3,024	3,320	3,611
Consensus Revenue Growth	2.7%	9.8%	8.8%
EBIT	220	408	543
EBIT Margin	7.2%	11.8%	13.9%
Consensus EBIT	269	400	437
Consensus EBIT Margin	8.9%	12.0%	12.1%

Appendix

Historical Financials

Particulars	2020	2021	2022	2023	2024	2025	2026
Revenue (in Cr.)	1,665	1,885	2,193	2,482	2,754	2,844	2,944
Revenue Growth	-	13%	16%	13%	11%	3%	4%
COGS Margin	56%	55%	60%	60%	53%	52%	55%
Gross Margin	44%	45%	40%	40%	47%	48%	45%
EBITDA Margin	15%	17%	11%	13%	17%	18%	15%
Operating EBIT Margin	10%	13%	7%	11%	16%	16%	13%
PAT Margin	9%	10%	6%	10%	13%	13%	11%
ROCE	19%	26%	18%	31%	44%	37%	29%
ROE	21%	20%	19%	27%	32%	27%	21%
PP&E Depreciation (in Cr.)	29	31	31	29	28	30	33
Capex (in Cr.)	39	25	26	35	37	58	67
FCF (in Cr.)	126	384	180	317	444	254	346
Receivable Days	26	17	23	19	26	35	32
Inventory Days	91	101	84	76	73	84	80
Payable Days	52	69	67	55	72	75	74
Working Capital Days	-9	9	-3	12	39	39	15
Cash (in Cr.)	159	332	216	289	362	598	816
Debt (in Cr.)	221	97	171	47	51	61	52
Shares Outstanding (in Cr.)	37	37	37	37	37	37	37

Appendix

Revenue Build

Segments	2026A	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
A. Fabric Care											
Revenue	1,346	1,561	1,778	2,005	2,238	2,474	2,725	2,973	3,211	3,433	3,634
Volume Growth	9.5%	11.5%	11.7%	10.6%	9.5%	8.4%	-	-	-	-	-
Price/Mix	-1.4%	4.0%	2.0%	2.0%	2.0%	2.0%	-	-	-	-	-
Value Growth	8.1%	16.0%	13.9%	12.8%	11.6%	10.5%	10.2%	9.1%	8.0%	6.9%	5.9%
B. Home Care											
Revenue	1,277	1,155	1,327	1,508	1,698	1,892	2,104	2,316	2,525	2,725	2,911
Volume Growth	3.4%	-13.0%	13.7%	12.6%	11.4%	10.3%	-	-	-	-	-
Price/Mix	-4.7%	4.0%	1.0%	1.0%	1.0%	1.0%	-	-	-	-	-
Value Growth	-1.3%	-9.5%	14.8%	13.7%	12.6%	11.4%	11.2%	10.1%	9.0%	7.9%	6.8%
C. Personal Care											
Revenue	321	332	368	403	438	471	504	535	561	584	601
Volume Growth	1.6%	-5.0%	9.6%	8.5%	7.5%	6.4%	-	-	-	-	-
Price/Mix	3.6%	9.0%	1.0%	1.0%	1.0%	1.0%	-	-	-	-	-
Value Growth	5.2%	3.6%	10.7%	9.6%	8.5%	7.5%	7.1%	6.1%	5.0%	4.0%	2.9%
Total Revenue	2,944	3,049	3,473	3,916	4,374	4,836	5,333	5,824	6,297	6,741	7,146
Revenue Growth	3.5%	3.6%	13.9%	12.8%	11.7%	10.6%	10.3%	9.2%	8.1%	7.1%	6.0%

Appendix

DCF Valuation

(Rs. Crores)	2026A	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	Terminal Year
Revenue	2,944	3,049	3,473	3,916	4,374	4,836	5,333	5,824	6,297	6,741	7,146	7,539
Revenue Growth	3.5%	3.6%	13.9%	12.8%	11.7%	10.6%	10.3%	9.2%	8.1%	7.1%	6.0%	5.5%
EBIT (Operating) margin	13%	7.2%	11.8%	13.9%	15.0%	16.2%	18.8%	18.9%	19.0%	19.1%	19.2%	17.0%
EBIT (Operating income)	389	220	408	543	656	781	1,001	1,100	1,196	1,289	1,375	1,282
Tax	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%
NOPAT	288	162	302	402	485	578	740	814	885	954	1,017	948
Reinvestment	-	38	56	61	67	72	79	84	89	92	95	373
FCFF	-	63	246	340	419	506	661	729	797	861	922	576
Cost of Capital	-	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
Discount Factor	-	0.946718	0.857116	0.775994	0.70255	0.636057	0.575857	0.521355	0.472012	0.427338	0.386892	
PV of FCFF	-	59	211	264	294	322	381	380	376	368	357	

Terminal FCFF	576
Terminal Cost of Capital	10.5%
Terminal Value	11,624
PV of Terminal Value	4,497
PV of FCFF next 10 years	3,013
Sum of PV	7,510
- Debt	52
+ Cash	816
Value of Equity	8,274
Shares Outstanding	37
Estimated value per share	₹ 225
Current Price	195
Implied Upside/Downside	16%

(Rs. Crores)	2026A	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Gross Capex	67	67	76	86	96	106	117	128	139	148	157
PP&E Depreciation	33	34	38	43	48	53	59	64	69	74	79
Net Capex	34	34	38	43	48	53	59	64	69	74	79
NWC	121	125	143	161	180	199	219	239	259	277	294
Change in NWC	-	4	17	18	19	19	20	20	19	18	17
Reinvestment	-	38	56	61	67	72	79	84	89	92	95

Appendix

Reverse DCF

SCENARIO A: Implied Growth

(Rs. Crores)	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	Terminal Year
Revenue	3,049	3,289	3,548	3,828	4,130	4,456	4,807	5,186	5,595	6,037	6,369
Revenue Growth	3.6%	7.9%	7.9%	7.9%	7.9%	7.9%	7.9%	7.9%	7.9%	7.9%	5.5%
EBIT (Operating) margin	7.2%	11.8%	13.9%	15.0%	16.2%	18.8%	18.9%	19.0%	19.1%	19.2%	17.0%
EBIT (Operating income)	220	386	492	574	667	836	908	985	1,070	1,161	1,083
Tax	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%
NOPAT	162	286	364	425	494	619	672	729	792	859	801
Reinvestment	38	46	50	54	58	62	67	73	78	85	315
FCFF	63	240	314	371	436	556	604	657	713	775	486
Cost of Capital	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
Discount Factor	0.946718	0.85712	0.77599	0.70255	0.63606	0.57586	0.52136	0.47201	0.42734	0.38689	
PV of FCFF	59	206	244	261	277	320	315	310	305	300	

Terminal FCFF	486
Terminal Cost of Capital	10.5%
Terminal Value	9,819
PV of Terminal Value	3,799
PV of FCFF next 10 years	2,597
Total EV	6,396

Assumptions	Value
FY27 Revenue & Margin	Same as Base DCF
EBIT Margin rest of forecast years	Same as Base DCF
Tax Rate	Same as Base DCF
Reinvestment Assumption	Same Methodology
WACC	Same as Base DCF
Terminal Growth & Margin	Same as Base DCF
Implied Revenue Growth (Years 2-10)	7.9%

Appendix

Reverse DCF

SCENARIO B: Implied Margin

(Rs. Crores)	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	Terminal Year
Revenue	3,049	3,473	3,916	4,374	4,836	5,333	5,824	6,297	6,741	7,146	7,539
Revenue Growth	3.6%	13.9%	12.8%	11.7%	10.6%	10.3%	9.2%	8.1%	7.1%	6.0%	5.5%
EBIT (Operating) margin	7.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	17.0%
EBIT (Operating income)	220	390	440	491	543	599	654	707	757	803	1,282
Tax	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%	26%
NOPAT	162	289	326	364	402	443	484	524	560	594	948
Reinvestment	38	56	61	67	72	79	84	89	92	95	373
FCFF	63	233	264	297	330	364	400	435	468	499	576
Cost of Capital	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
Discount Factor	0.946718	0.85712	0.77599	0.70255	0.63606	0.57586	0.52136	0.47201	0.42734	0.38689	
PV of FCFF	59	200	205	208	210	210	209	205	200	193	

Terminal FCFF	576
Terminal Cost of Capital	10.5%
Terminal Value	11,624
PV of Terminal Value	4,497
PV of FCFF next 10 years	1,899
Total EV	6,396

Assumptions	Value
FY27 Revenue & Margin	Same as Base DCF
Revenue Growth rest of forecast years	Same as Base DCF
Tax Rate	Same as Base DCF
Reinvestment Assumption	Same Methodology
WACC	Same as Base DCF
Terminal Growth & Margin	Same as Base DCF
Implied Margin (Years 2-10)	11.2%